Quiz 3 — Short Answer

SID-50104 | ECON2001 Quiz 3

1. Question 1

Define opportunity cost and comparative advantage, giving an example of each.

Opportunity cost is the next best alternative that is given up. For example, if a farmer uses land to grow wheat, the opportunity cost is the barley that could have been grown. Comparative advantage is the ability to produce a good at a lower opportunity cost than others.

2. Question 2

Use a supply and demand model to analyse a binding rent ceiling in a city rental market, in the short run and the long run.

A binding rent ceiling creates excess demand, because at the lower rent more people want apartments and landlords supply fewer. The shortage is larger in the long run because supply is more elastic and fewer new apartments are built.

3. Question 3

Evaluate the trade-offs between a rent ceiling and targeted housing vouchers.

The rent ceiling is cheap for the government but leads to shortages and poor maintenance. Vouchers are targeted at low-income tenants and avoid shortages, but they are costly and could push up rents. Vouchers are generally the better policy because they target need.